Company Presentation

Creator of a new multi-billion Euro category in kids entertainment and beyond

August 2021



Highly experienced, founder-led team

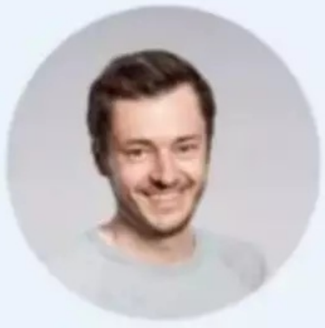
tonies®



Marcus Stahl
Co-Founder



Patric Faßbender
Co-Founder



Jan Middelhoff
MD International



Florian Drabeck
CFO



Christoph Frehsee
US President

Our ecosystem is tailored to the needs of young families by providing a playful, safe and screen-free audio experience





Toniebox: Smart, connected audio player allows for a large installed base, anchoring our proprietary ecosystem

Tonies: Extensive and constantly growing choice of over 300 exciting characters (with premium content) are triggering steady usage and repurchases

Data: We understand our consumers thanks to our data-driven and insight-supported business model

tonies is a category of its own

~EUR 137m
net revenue (2020A)
achieved
in just 5 years

> 50%
net revenue growth
CAGR (2018A-20A)



Over
2,400,000
Tonieboxes
activated

~80%
of installed base
is active every month

Only ~EUR 10m
equity funding
since launch in 2016

35%
EBITDA margin
achievable in mature markets

Over
25,000,000
Tonies living *happily*
in children's rooms

Proof of concept
in DACH with
~2m activated boxes

Global expansion
by replicating
DACH success story

US launch even more successful
than the one in Germany

Note(s): Audited German GAAP financials and management estimates
Source(s): Company Information

Key investment highlights



1 Huge Market Opportunity

Newly created multi-billion Euro product category tapping into adjacent connected audio, streaming as well as kids gaming and toys segments

2 Differentiating Positioning

Pioneer with category-defining offering as first device in the kid's room, high brand loyalty and differentiating value proposition, leveraging first-mover advantage

3 Tech-enabled Business Model

Scalable, asset-light razor-blade business model, building on continuously growing installed base and data-driven content creation

4 Brand Loyalty

Beloved D2C brand with a fast-growing and highly loyal fanbase, anchored by the unique tonies experience and its proprietary ecosystem

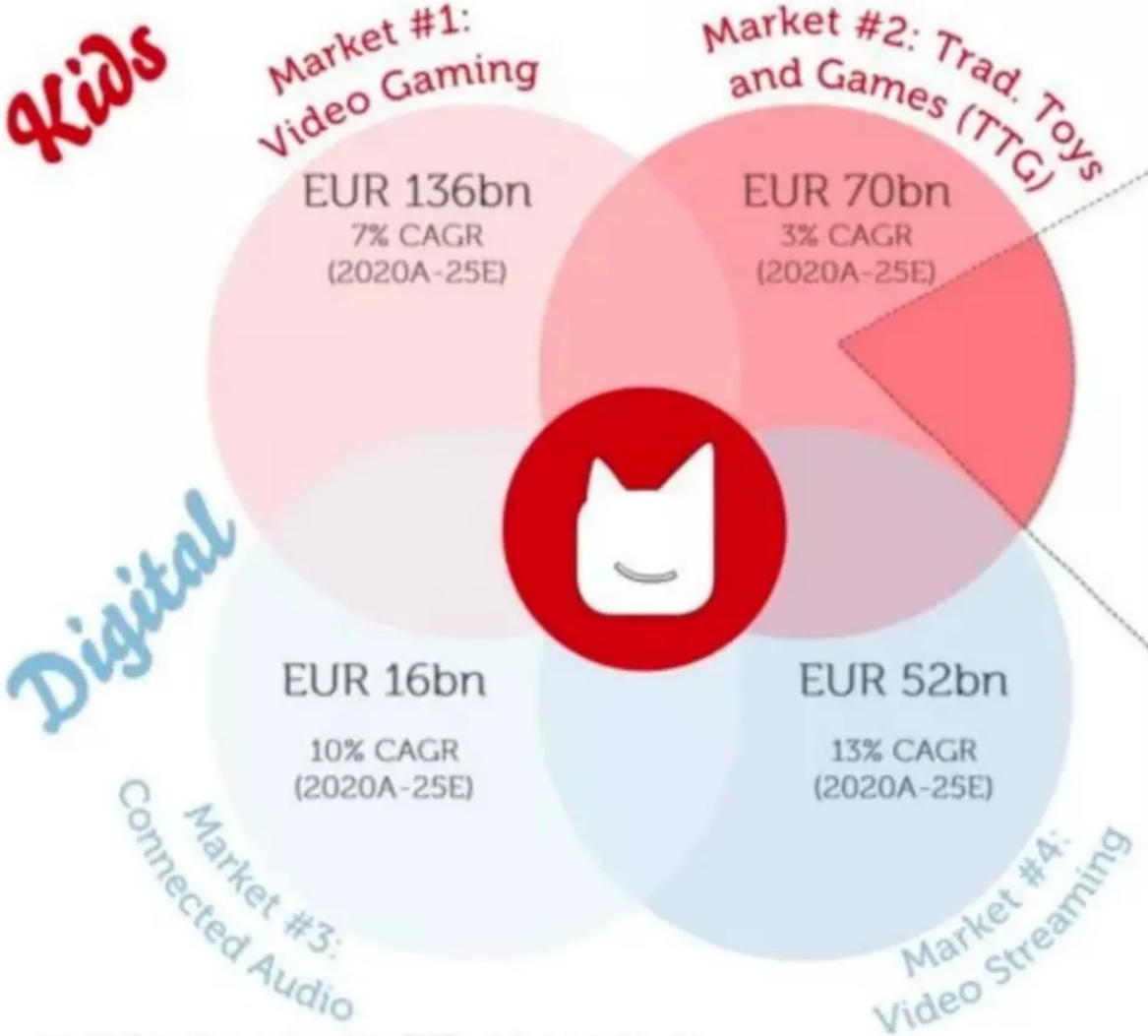
5 Proven Track-Record

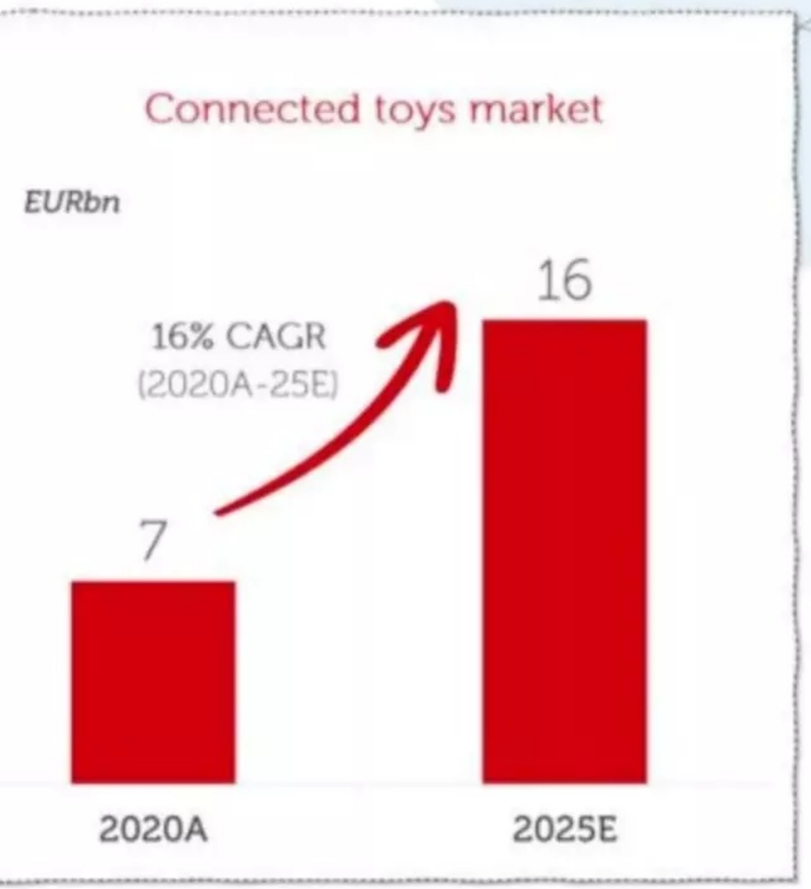
Track-record of outstanding growth and proven profitability backed by an active and sticky customer base and attractive unit economics

6 Accelerated Growth

Clear building blocks for sustainable growth as part of strategic roadmap, utilizing tonies' tech platform for further global expansion

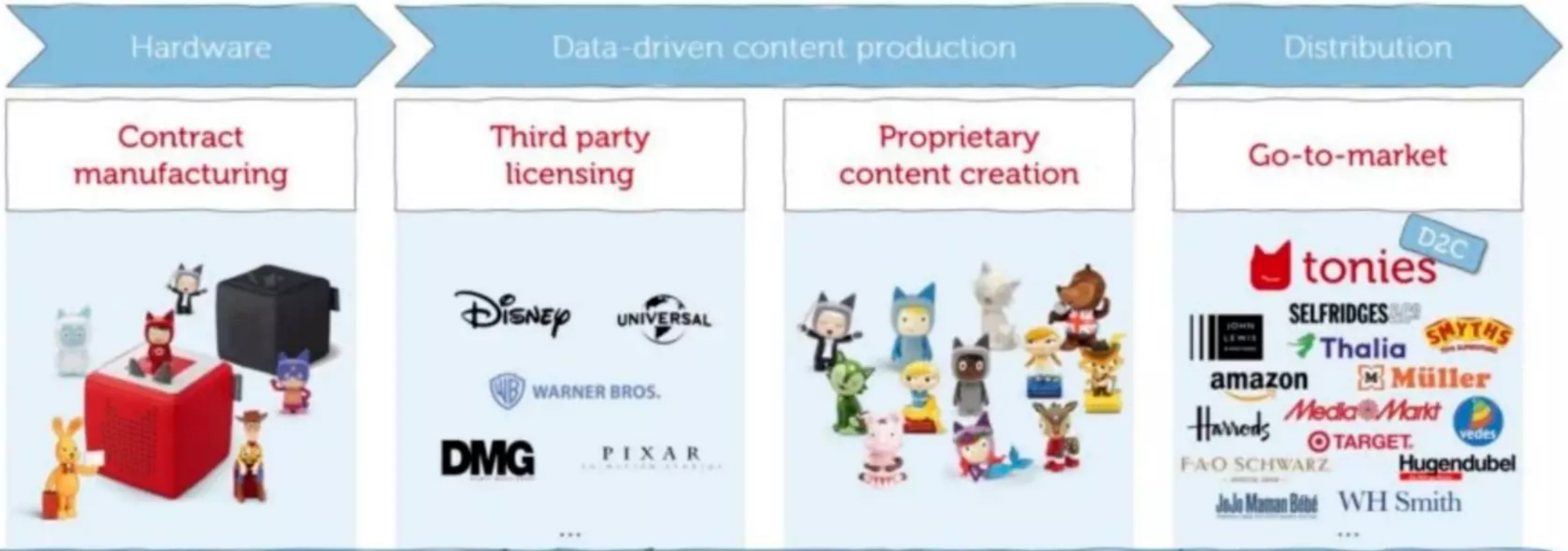
We have created a new multi-billion Euro category in the intersection of four huge consumer markets





Note(s): Global market sizes refer to 2020, unless stated otherwise
Source(s): Leading consulting firm

Proven business model with clear focus on value creation



Deep design expertise, patented product (incl. own production technology)

Strong licensor relationships, best in class license management

Competitive edge through tech-stack and continuous data flow

Brand with strong pull for omni-channel approach

Highly scalable backend enabling lock-in effect

tonies' content-driven flywheel provides comprehensive customer data







Thanks to our data-driven approach, we understand our users

...what they listen for, where and when

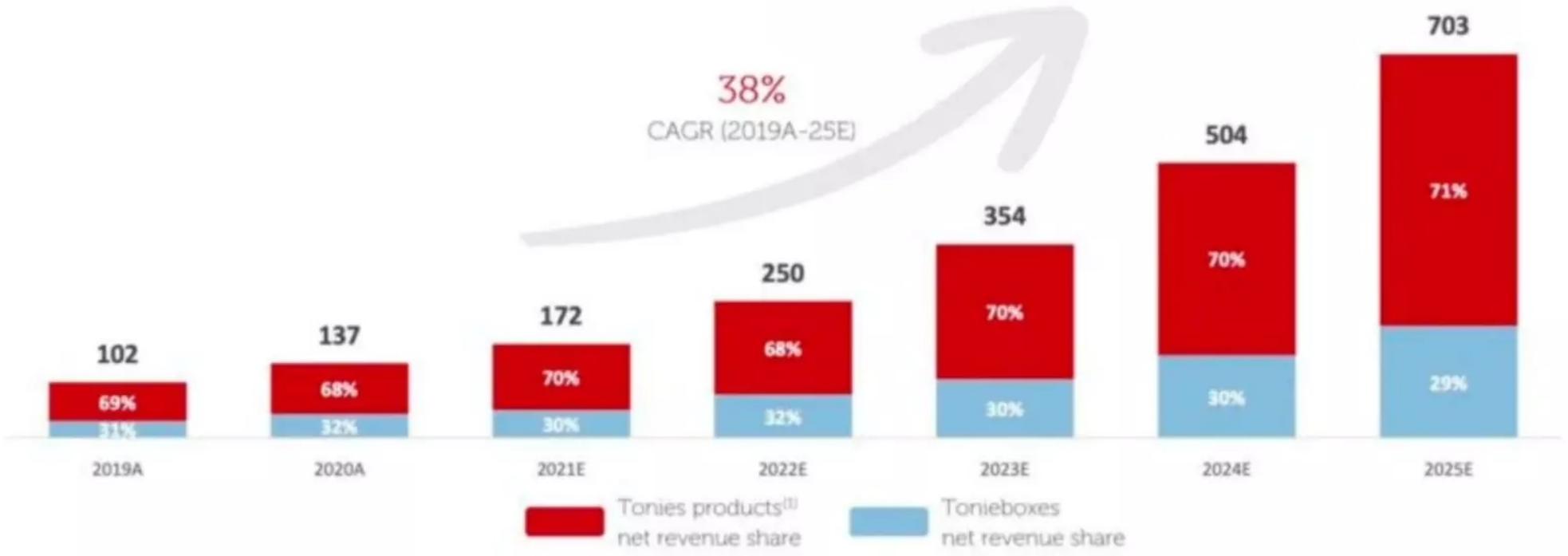
...how often and how long they listen for

...how many users share a box

...how intensively they engage with the platform

Our highly loyal and continuously growing customer base drives sustainable growth

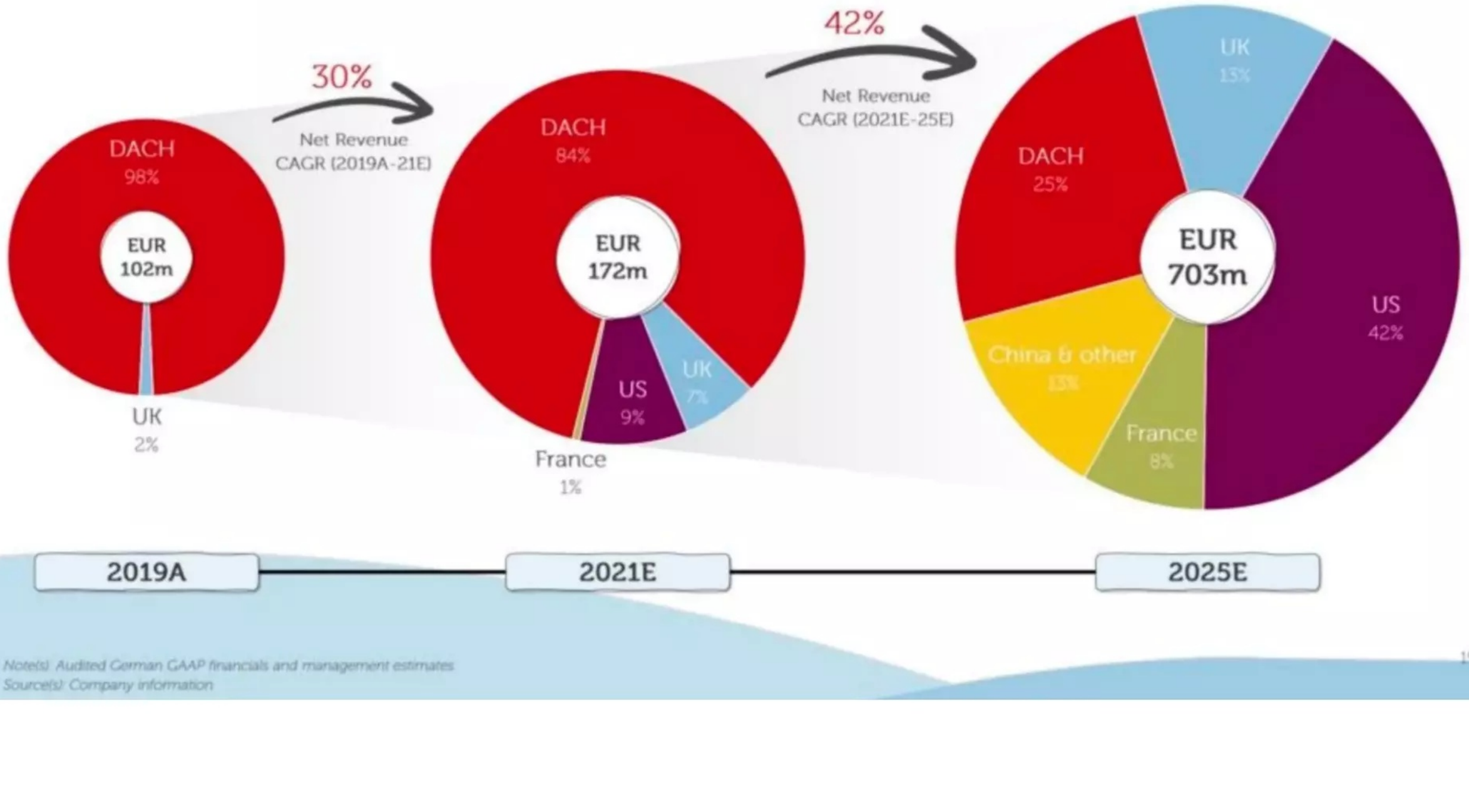
EURm



	2019A	2020A	2021E	2022E	2023E	2024E	2025E
Net revenue growth	68%	35%	26%	46%	42%	42%	40%
Installed base[2] (in m)	1.3	2.0	2.6	3.6	4.9	6.6	8.9

Note(s): Audited German GAAP financials and management estimates; (1) Including Content Tonies, Creative Tonies, Accessories, mytonies; (2) Active Startersets with target group
Source(s): Company information

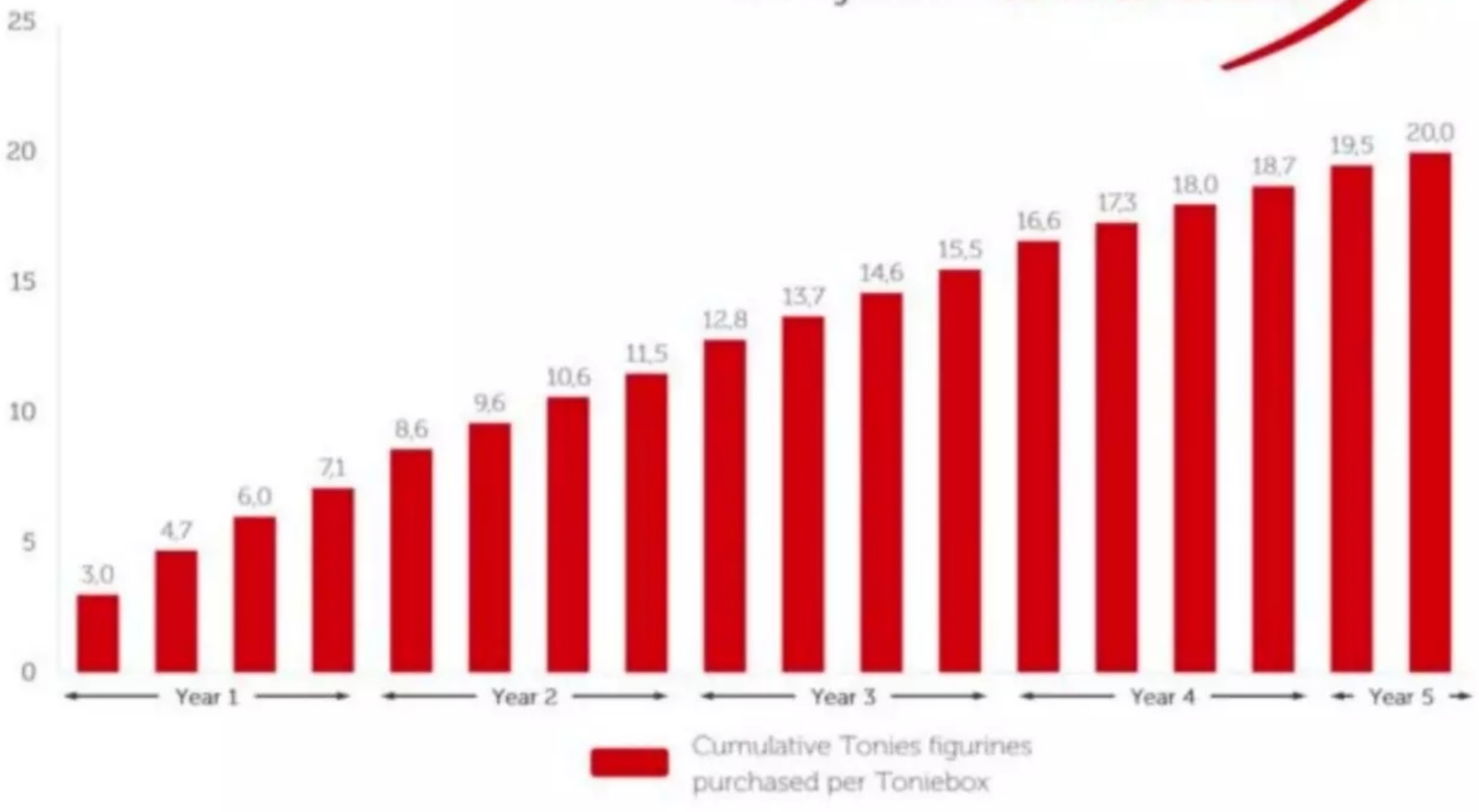
We intend to replicate our proven DACH success story globally



Note(s): Audited German GAAP financials and management estimates
Source(s): Company information

Strong and highly predictable cohorts drive growth trajectory

Our average customer buys ~20 Tonies figurines within 4.5[(1)] years – *to be continued*



+2.4m Tonieboxes activated

+25m Tonies figurines sold

Note(s): KPIs are as of July 2021. (1) First month of trading September 2016

The result: Our scalable business model will drive future profitability

Financial Targets Overview					
	2019A	**2020A**	**H1 2021A**	**Medium Term Group**	**Medium Term DACH**
Gross Margin before Licenses	**44.6%**	**51.8%**	**~61%**	**~70%**	**~74%**
Licensing Costs	-17.6%	-18.4%		~-12%	~-16%
Gross Margin after Licenses	**27.0%**	**33.4%**	**~41%**	**~58%**	**~58%**
Fulfilment Costs	-11.8%	-14.0%		~-18%	~-11%
Contribution Margin	**15.2%**	**19.4%**	**~23%**	**~40%**	**~47%**
Personnel Expenses	-6.6%	-8.9%		~-7%	~-3%
Marketing Expenses	-1.2%	-3.9%		~-13%	~-5%
OPEX	-6.1%	-9.2%		~-5%	~-4%
Other Result	2.3%	3.1%			
Adj. EBITDA Margin	**3.6%**	**0.6%**		**~16%**	**~35%**

Note(s): Audited German GAAP financials and management estimates; All figures shown as percentage of net revenue; Not all figures add up perfectly due to rounding

We have a clear internationalization roadmap in place



Being executed

2016 | 2019 | 2020 | 2021

In Preparation

2022(1) | 2023(2) | 2023+(3)

Core

Full local team on the ground









Sep 2021



Non-Core

D2C first, light-touch model only(4)





Q4 2021

Includes international Webshop (global shipping). Markets can grow into "core markets" if potential unfolds





Rest of Europe



LatAm

South East Asia



Note(s): (1) Belgium, Netherlands, Luxembourg, Sweden, Norway, Denmark, Hong Kong, Singapore, Australia; (2) China, Norway, Denmark, Italy, Spain, Rest of Europe, South Africa, Mexico; (3) LatAm (Brazil, Argentina + others), Russia, South East Asia (Malaysia, Thailand, South Korea, etc.); (4) Light Model focused on online only approach (webshop, marketplaces) but with option to build out (incl. offline retail) once market potential unfolds

Improving our platform and product offering to satisfy and grow our fanbase is key element of our strategic roadmap

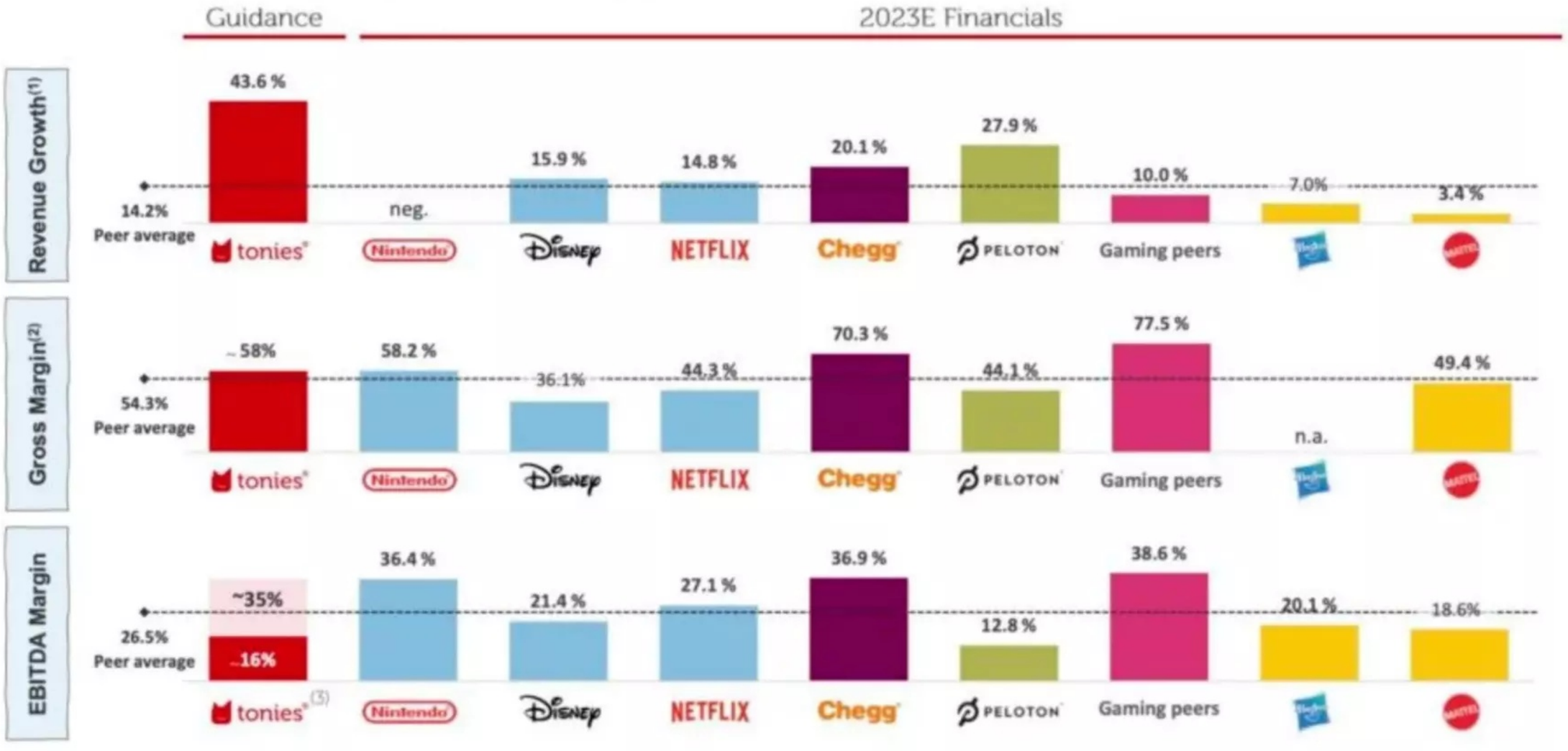
Toniebox	Tonies	Own content	Accessories / Merchandise
Next generation Toniebox and target group expansion	Alternative materials and category innovation	Signature content and storytelling (Tonies Originals)	Adjacent products to enhance product and brand experience
Installed Base ↗	Cohorts ↗	Profitability ↗	Cross-selling ↗



Innovation Unit **Tonielab** was set up on January 01, 2021

Innovation drives customer loyalty and stickiness

tonies shows significantly stronger growth with similar profitability compared to peers



Note(s): Guidance on DACH EBITDA margin. Respective multiples charts not to scale; (1) Revenue CAGR 2021E-23E; (2) Tonies' medium-term guidance on gross margin of ~58%; (3) Tonies' medium-term guidance on EBITDA margin of ~16%. Source(s): Company information, FactSet (as of 2 July 2021)

Highly regarded sponsor team of 468 SPAC I

468 SPAC I



Alexander Kudlich
CEO 468 SPAC I



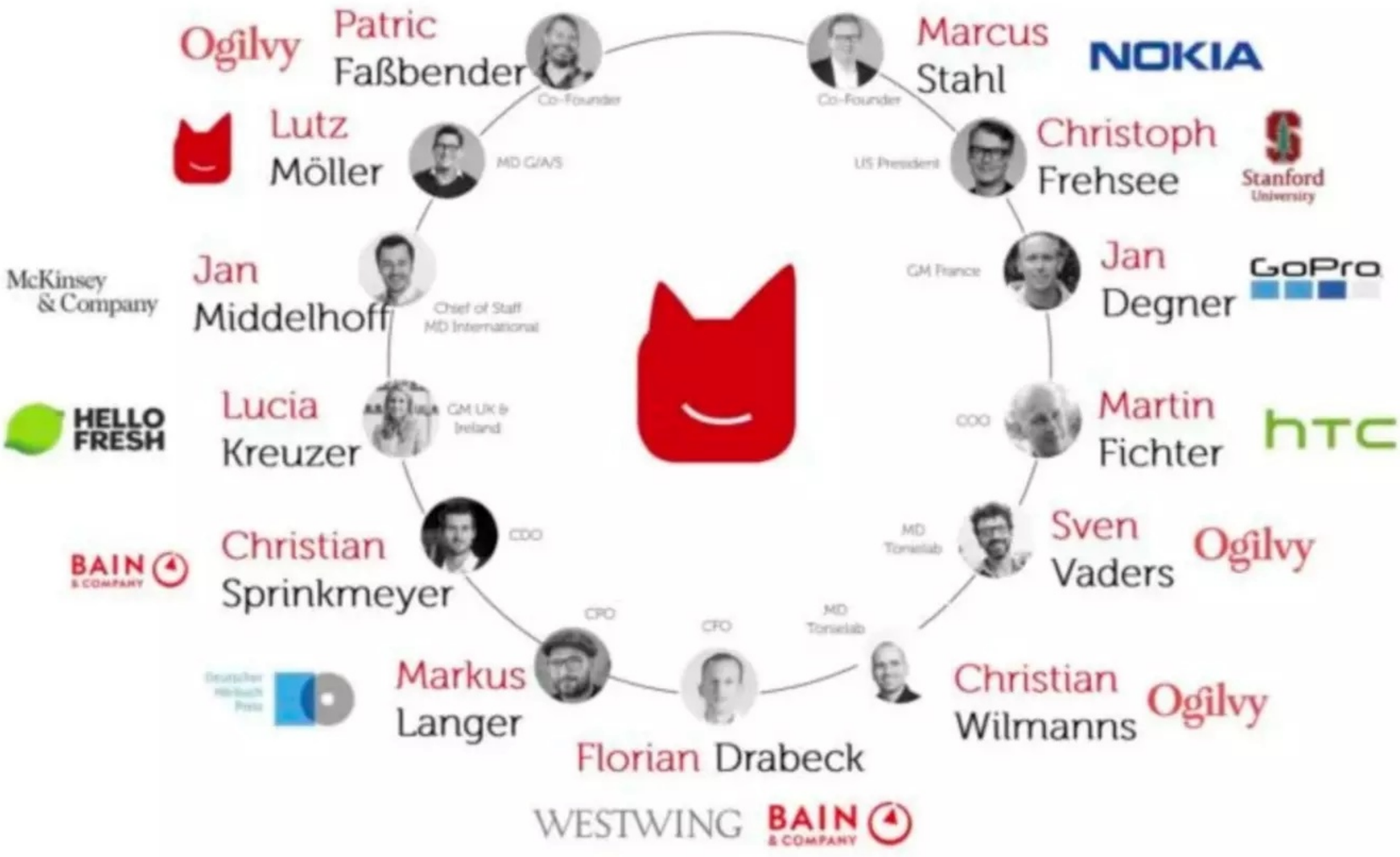
Ludwig Ensthaler
CIO 468 SPAC I



Florian Leibert
CTO 468 SPAC I

BEAT81 bnext Clearbit Chipotle CONSTRUYO Cooper URBAN SPORTS CLUB Delivery Hero distru FUZZBUZZ DevFlight hello again. tonies Lazada JUMIA
D2IQ Hilma LinearLabs MOMENTUM BLUELAND IONIQ NOURISH3D opstrace supp tecton asistensi CAPSULE expertlead slack AWAY
leaflink A+ energy Area2Farms Athens bardeen VALOREO BaseDash Bubbles CLEANHUB ITALIC HERO Fyber ShiftLeft HELLO FRESH
CloudNatix code CustomerDB Data Mechanics Earthly MARLEY SPOON home24 WESTWING felmo Frequenz Gaiali foodora foodpanda hometogo Buoyant
Iterative.ai klima NATIF AI planetly DFG upbound RAPID EVEROAD RASA RAZOR GROUP Rili FREIGHTHUB Cockroach Labs ArangoDB woom
rune labs SCARF Superchat talentspace tractive Vectornator Wasmer workist Zapp KONUX life house Personio preset RUDDERSTACK TEMPLARBIT forto reachhero
ace & tate payleven FRI:DAY Cloco dashdash AGENCASA.IT Global Savings Group CATERWINGS N26 Sanity Group SIDELINESWAP Helpling Nestpick flipdish INSTAFREIGHT

Highly experienced founder-led team with proven track record in the consumer space



Audited German GAAP financials (total-cost method)

AVI Beteiligungs GmbH - Income Statement 2020 & 2019 (shortened fiscal year, 03.07.-31.12.2019)

(in EUR)

Position	2020		2019 shortened	
Revenue		136,754,362.67		46,531,579.38
Increase (PY: decrease) in finished goods and work in process		8,380,029.59		-25,704,347.59
Other operating income		3,271,084.20		820,666.72
Cost of materials				
a) Cost of raw materials, supplies and purchased goods	-73,120,849.89		-13,391,300.96	
thereof income from currency translation: EUR 1,667,147.78 (PY: EUR 427,488.57)				
thereof expenses from currency translation: EUR 1,600,498.36 (PY: EUR 372,379.93)				
b) Cost of purchased services	-1,223,855.76	-74,344,705.65	-317,275.25	-13,708,576.21
Personnel expenses				
a) Wages and salaries	-10,314,359.89		-1,511,564.35	
b) Social security, pension and other benefits	-1,854,229.92	-12,168,589.81	-367,488.87	-1,879,053.22
thereof for pensions: EUR 80,303.33 (PY: EUR 36,456.89)				
Amortisation, depreciation and write-downs of intangible assets and property, plant and equipment		-27,255,152.93		-7,339,267.89
Other operating expenses		-63,982,179.28		-17,307,954.37
Interest and similar expenses		-3,277,144.82		-891,400.40
Income taxes		-1,819,581.64		5,519,725.81
Earnings after taxes		-34,441,877.67		-13,958,627.77
Net income for the financial year		**-34,441,877.67**		**-13,958,627.77**
Loss carry forward		-14,230,273.91		0
Distribution		0.00		-271,646.14
Consolidated accumulated deficit		**-48,672,151.58**		**-14,230,273.91**
Reconciliation to Mgmt Accounts				
EBITDA		-2,089,998.28		
Factoring Costs allocated back as part of Financial Result		180,634.30		
EBITDA Adjustments		2,704,022.96		
Adjusted EBITDA		**794,658.98**		

Note(s): Financials have been converted from total-cost method to cost-of-sales method for management accounts; AVI Beteiligungs GmbH is the HoldCo of Boxine GmbH